Marked price

In big shops and departmental stores, we see that every product is tagged with a card and a price marked on it. This price marked on the card is called the ***marked price***.

Based on this marked price, the shopkeeper offers a certain percentage of discount. The price payable by the customer after deduction of discount is called the ***selling price***.

That is, Selling Price = Marked Price – Discount

4.3.3 Overhead Expenses

Traders, retailers and shopkeepers are involved in the buying and selling of goods. Sometimes, when articles like machinery, furniture, electronic items etc., are bought, a few expenses may happen on their repairs, transportation and labour charges etc., These expenses are included in the cost price and are called as ***overhead expenses.***

Total Cost Price = Cost Price + Overhead Expenses

$$\text{Discount \%} = \frac{\text{Discount}}{\text{marked price}} \times 100\%$$

4.3.4 Goods and Services Tax (GST)

The goods and services tax (GST) is the only common tax in India levied on almost all the goods and the services meant for domestic consumption. The GST is remitted by the traders and the consumers alike and is also one of the main sources of income to both the Central and State Governments.There are 3 types of GST namely Central GST (CGST), State GST (SGST) and Integrated GST (IGST). For union territories, there is UTGST.

The GST is shared by the Central and the State Governments equally. There are also many products like Egg, Honey, Milk, Salt etc., which are exempted from GST. Products like Petrol, Diesel etc., do not come under GST and they are taxed separately. The GST council has fitted over 1300 goods and 500 services under four tax slabs namely 5%, 12%, 18% and 28%.

Example 4.6

Ranjith bought a washing machine for ₹16150 and paid ₹1350 for its transportation. Then, he sold it for ₹19250. Find his gain or loss percentage.



Solution:

Total C.P of the washing machine

= C.P + Overhead Expenses

= 16150 + 1350 = ₹17500

S.P = ₹19250

Here, S.P > C.P. Hence, there is a gain.

$$\text{Gain \%} = \left(\frac{Gain}{C.P} \times 100\right)\% = \left(\frac{19250 - 17500}{17500} \times 100\right)\%$$

$$= \left(\frac{1750}{17500} \times 100\right)\% = 10\%$$

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